

For decades, India's space programme was synonymous with the Indian Space Research Organisation (ISRO).

While ISRO remains the backbone of the ecosystem, government reforms like the Space Policy of 2023, creation of the Indian National Space Promotion and Authorisation Centre to oversee non-government entities and a ₹1,000 crore space venture fund have opened the doors to a new generation of start-ups across satellite manufacturing, launch and data services.

Investors are beginning to take note. "This is an industry of national importance," says Arjun Rao, General Partner at the venture capital fund Speciale Invest. "While estimates peg India's space economy at \$40–45 billion in the coming years, that may only scratch the surface of its true potential. Importantly, much of that reflects domestic demand. The bigger opportunity lies in building from India for the world, with start-ups serving global markets."

BUILDING PEDIGREE

Speciale Invest has backed seven spacetechn start-ups, including Agnikul Cosmos, known for building the world's first fully 3D-printed rocket engine and India's first private launchpad.

Rao concedes that these are early days for the spacetechn industry. "Even for someone like Elon Musk, building and launching a rocket took close to a decade," Rao says. "You can't compress that into a few years. These companies need to build space pedigree—one launch, then a few satellites, then scaling up. Only after that does revenue follow."



“Three to five Indian spacetechn companies will be globally relevant commercial businesses. The rest will consolidate, pivot to defence subcontracting, or fail. That is not a failure of the ecosystem; it is how ecosystems work”

Mario Gonsalves
India Leader – Public Sector Practice, BCG



“This ecosystem is less than a decade old—by spacetechn standards, that's extremely early. Even if estimates peg India's space economy at \$40–45 billion in the coming years, we are still only scratching the surface of a much larger global opportunity”

Arjun Rao
General Partner, Speciale Invest

This is a crucial distinction. Unlike software or consumer start-ups, spacetechn is inherently capital-intensive and time-consuming. Revenue generation often follows multiple successful missions.

While early-stage funding has improved, growth capital is scarce.

According to Mario Gonsalves, India leader of the public sector practice at consulting firm BCG, spacetechn firms have globally raised nearly \$28 bil-

lion over the past five years. In comparison, Indian start-ups have secured just about \$354 million—roughly 1.3% of global capital, despite accounting for 5–6% of start-up activity in the same period.

Data from Tracxn, which follows start-up activity, shows that of 225 spacetechn start-ups in 2025, only 78 secured funding. Just nine progressed to a Series B funding round or beyond. Even among funded companies like Skyroot Aerospace (India's first